How a Retail Personal Loan Is Approved in India

Scope: unsecured retail personal loans at a mid-sized bank • Prepared for the Agentic AI Loan Approval demo

Research method and limitations. This note is based on public sources. No banking practitioners were interviewed. Regulatory requirements are identified separately from common process assumptions and demo-only settings.

1. Typical end-to-end workflow

Stage	What happens	Typical owner*
1. Application and documents	Capture the requested amount, tenure, employment, income and customer details. Collect relevant identity, address and income evidence.	Bank intake / operations
2. KYC and identity checks	Complete customer identification and due diligence under the bank's applicable KYC process. Resolve mismatches or incomplete records.	KYC / operations
3. Income and employment review	Compare declared income with payslips, bank credits, employer details or other evidence required by bank policy.	Credit operations
4. Credit bureau and obligations	Obtain the credit information report through authorised processes. Review repayment history and existing credit commitments.	Credit operations / underwriting
5. Affordability and fraud checks	Estimate the proposed EMI, assess total obligations against income, and flag inconsistencies or possible fraud for investigation.	Rules / fraud / underwriting
6. Underwriting and exceptions	Assess the application against the bank's lending policy, document rationale and escalate exceptions under delegated authority.	Credit officer
7. Decision and sanction	An authorised decision-maker approves, declines or requests further information. If approved, communicate the applicable loan terms.	Authorised approver
8. Acceptance and disbursement	Complete applicable disclosures and acceptance steps, then disburse through the permitted process and retain the audit record.	Operations / servicing

**Role names and handoffs vary by bank, product, channel and delegation framework. This is a process model for the demo, not a universal operating procedure.*

2. Regulatory considerations relevant to the demo

- KYC: RBI's Master Direction on Know Your Customer sets the framework for customer acceptance, identification, due diligence and ongoing due diligence. The demo should show identity verification as a controlled check, not simply an AI judgement. [1]
- Digital lending: RBI's Digital Lending Directions, 2025 cover relevant digital lending activities and include requirements around borrower creditworthiness, disclosures, disbursement, cooling-off, grievance redressal, data use and storage. A real implementation would need a detailed applicability review. [2]
- Key Fact Statement (KFS): RBI's KFS instructions apply to covered retail and MSME term loans. The digital-lending directions refer to KFS disclosures. The demo should identify KFS generation and delivery as a production requirement where applicable. [2, 3]
- Personal data: The Digital Personal Data Protection Rules, 2025 were notified with phased commencement. The bank would need to assess which obligations are in force at deployment time and design consent, access, retention and incident-handling controls accordingly. [4]

3. Turnaround times and operational pain points

Turnaround time (TAT). The public sources reviewed for this note did not establish a single authoritative TAT that applies across Indian banks for unsecured personal loans. TAT varies with the application channel, completeness of documents, verification requirements, risk profile and bank operating model. The demo therefore makes no numerical claim about time saved.

Pain points to validate with banking practitioners. The following are plausible process hypotheses, not verified findings from interviews:

- Applicants submit scans or PDFs that require manual reading and re-keying.
- Income, account activity, existing obligations and bureau results may sit in separate systems or arrive at different times.
- Missing documents and inconsistent fields can lead to repeated customer follow-ups.
- Policy interpretation and exception handling can vary across teams if guidance and decision rationale are not easy to find.
- When evidence and decisions are stored across different tools, reconstructing the reason for a decision can be difficult.

4. Implications for the proposed solution

- Use a lakehouse-style data layer to bring synthetic application, account, repayment and verification data together, while preserving source and timestamp metadata.
- Use agents to extract and compare document fields, retrieve relevant policy passages, assemble credit evidence and flag missing or conflicting information.
- Keep deterministic calculations and policy thresholds in transparent, testable Python rules. Show the input values, formula, policy version and result.
- Keep the authorised credit officer responsible for the final decision. Record approval, decline, escalation or override with a reason and audit trail.
- Clearly label external checks as mock responses. The demo does not connect to actual CIBIL, PAN, Aadhaar or government services.
- Treat minimum credit score 680, FOIR cap 50% and age range 21–60 as fictional demo settings only. They are not universal RBI rules.
- Known production gaps include complete KFS generation and delivery where applicable, cooling-off handling for covered digital loans, production-grade consent and privacy controls, fair-lending testing, model-risk governance, access controls and security review.

5. Sources

[1] Reserve Bank of India. Master Direction – Know Your Customer (KYC) Direction, 2016, updated 14 August 2025.
https://www.rbi.org.in/scripts/bs_viewmasdirections.aspx?id=11566

[2] Reserve Bank of India. Reserve Bank of India (Digital Lending) Directions, 2025, 8 May 2025, RBI/2025-26/36.
https://www.rbi.org.in/scripts/NotificationUser.aspx?Id=12848

[3] Reserve Bank of India. Key Facts Statement (KFS) for Loans & Advances, 15 April 2024. https://www.rbi.org.in/scripts/NotificationUser.aspx?Id=12623

[4] Ministry of Electronics and Information Technology. Digital Personal Data Protection Rules, 2025, notified 13 November 2025.
https://www.meity.gov.in/static/uploads/2025/11/53450e6e5dc0bfa85ebd78686cadad39.pdf

Verification note: This is a presales research summary, not legal advice. Before production use, confirm the latest RBI and MeitY texts, applicability to the bank and product, and the bank's own approved credit policy. No practitioner interview is claimed.